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Some remarks on the EU's action on the erosion of the rule of law in Poland and Hungary

Walter Rech

Erik Castrén Institute of International Law and Human Rights, University of Helsinki, Helsinki, Finland

ABSTRACT
The political situation in Poland and Hungary has contributed to a growing sense that the common values of the European polity are being radically challenged and, in some contexts, utterly dismantled. The European Union (EU) and the Council of Europe have reacted to the crisis e.g. through the recommendations of the Venice Commission and the Rule of Law Framework, while scholarship has conducted an intense debate on the conduct of Fidesz and PiS and the potential means to strengthen liberal democracy vis-à-vis these parties. This article shares the concerns of the institutional and scholarly critique of Fidesz and PiS since the EU cannot relinquish the ideal of liberal democracy and the question of the member states' institutional commonality. Still, the article draws attention to a matter that has thus far been neglected in the mainstream debate on Hungary and Poland, that is the question of the ambivalence of the rule of law and democracy narrative as deployed by European institutions. To some extent, it is precisely the failure to recognize its own ambiguities, both theoretical and practical, that makes liberal democratic discourse a homogeneous and easy target vulnerable to rhetorical attacks by radical nationalist parties.

KEYWORDS
Hungary; Poland; European Union; rule of law; democracy

Introduction

In recent years, European Union (EU) institutions as well as western and European scholarship and media have drawn growing attention to democratic backsliding and breaches of the rule of law and fundamental rights in Hungary and Poland (Börzel and Schimmelfennig 2017; Ágh 2016, 2017; Varju and Papp 2016; Kelemen 2016, 2017). From a legal angle, scholars have highlighted how the governments of Viktor Orbán and Jarosław Kaczyński have contravened EU rules and principles that Hungary and Poland had accepted as a condition for accession to the Union. Politically, scholarship has drawn attention to these governments' fomenting xenophobia and internal polarization as they claim exclusive representation of 'the people' (Müller 2016). Parties such as Fidesz and PiS are seen as especially threatening as they are not only 'performing' populism as a matter of political style (Moffitt 2016), which would be no novelty, but actually reshaping the constitutional setting of their countries and undermining the project of the EU as a space of freedom granted by law. In the wording of EU institutions, the behavior of these parties constitutes a systemic threat to the rule of law.

This author deeply shares such concerns regarding the current challenges to the rule of law in Hungary and Poland. The article intends to participate in a discussion underrepresented in current literature by articulating a critical view of mainstream narratives on rule of law and liberal democracy and of the strategies that the EU has pursued to advance its rule of law and democracy

CONTACT Walter Rech walter.rech@helsinki.fi
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agenda. The following questions, in particular, might deserve further scrutiny: who shall have the authority to define the rule of law as well as breaches thereof within the EU? When do rule of law breaches become a matter of common EU concern? And what justifications can be given for EU action in Hungary and Poland? In dealing with such issues, the article highlights some of the ambivalences and contradictions of EU discourse and strategies. This is emphatically *not* to legitimize the policies of Fidesz and PiS but to provide a more accurate picture of the status of liberal democracy and the rule of law within the EU. The underlying assumption is that strengthening EU institutions should come with awareness of the potential pitfalls of current EU discourse. The EU liberal and democratic project runs the risk of turning into its opposite if it promotes a dichotomic vision of the political world in which some actors pose as forces of the good without reflecting on their own biases and contradictions.

The first section of this piece focuses on inconsistencies in the way the rule of law principle has been applied in the EU, including in the Hungarian and Polish situations, depending on broader political and economic circumstances. This shows the extent to which concerns for the rule of law and liberal democracy in the European project have sometimes been subordinated to competing values and interests that make the rule of law appear less foundational than is portrayed in mainstream narratives. The second section turns to what rule of law narratives, when deployed to demonize the other, may leave largely in the background. This is the concrete question of which social and economic policies are being implemented by parties such as Fidesz and PiS to secure domestic consent and delegitimize purportedly hostile EU institutions although these institutions actually provide the structural conditions for those parties to develop sweeping social and economic agendas. The third section focuses on how the rule of law discourse might still be legitimized vis-à-vis parties such as Fidesz and PiS, but in inconsistent ways given the inherent ambivalence of that discourse. In this respect, the rule of law reveals itself as part of what Immanuel Kant and then Jürgen Habermas have understood as the project of political modernity, a project that ought to be pursued and becomes politically meaningful *precisely* since it cannot be accomplished in any definitive way. Its accomplishment would entail an internal contradiction. It would mean that political modernity merely operates as a consolidated ideology that obscures the possibilities of political transformation inherent in the notion of democracy.

The article thus pleads for a critical and reflective attitude toward the rule of law and liberal democracy as an antidote to essentialistic understandings of such principles. It is when the liberal democratic principle is no longer defended on the merits but asserted with self-righteousness and lack of internal criticism that it plays in the hands of those who for their political success rely on dichotomic representations of identity and otherness.

Foundational or subordinate? The place of the rule of law in the EU

The notions of the rule of law and liberal democracy occupy a central place in the discourse of EU law and institutions. This is illustrated, for instance, by these notions being part of the Copenhagen criteria for EU accession and enshrined in Art. 2 TEU. Grave threats to rule of law and democracy may trigger the notorious 'nuclear option' of Art. 7 (Conant 2014), which the Commission has resorted to in response to the Polish Government's unwillingness to address its recommendations regarding the safeguard of the rule of law (European Commission 2017a, 2017b). The setting up of the Rule of Law Framework in 2014 had already confirmed the centrality of the rule of law as a European value and the EU's increasing concern about 'systemic threats' to that value (European Commission 2016). This preoccupation has grown ever since, as situations of deep and structural challenges to the liberal democratic system as occurring in Poland and Hungary have been perceived as a novel phenomenon compared with former challenges, notably that posed by Jörg Haider in Austria, and new mechanisms have thus been put in place to protect EU values.

Yet, broader political circumstances, not least the institutional power play among competent EU bodies (Schusterschitz 2016), have made it hard to establish a consensus on the actual strategies to

pursue for preserving rule of law and democracy standards vis-à-vis the Hungarian and Polish governments. Sanctions under Art. 7 TEU cannot be triggered unless there is unanimity within the European Council, which is virtually impossible to obtain since Hungary and Poland, and perhaps other members of the Visegrád Group might maintain a common front. This fragmentation within the EU sometimes comes with, and is increased by, certain countries' seeking more elaborated forms of interaction with partners with questionable human rights records, as illustrated by the relationship between Hungary and Russia. Such forms of cooperation attest to the diminishing pull of liberal democratic ideals and to leaders' increasing taking the liberty of subordinating those ideals to geopolitical and economic interests that may not be entirely compatible with EU principles. On the other hand, even EU countries with a strong human rights record have contributed to the weakening of fundamental rights and the notion of liberal democracy, at least in their relationships with the outside. This has occurred e.g. in the context of the EU's agreement with Turkey over the issue of refugees or in the rapprochement between the Union and Belarus – a country formerly criticized for its poor human rights record – in light of the growing assertiveness of Russia in Ukraine and elsewhere (Shukan 2017). In light of such examples, depictions of the EU as a vehicle of liberal democracy and the rule of law may not always be accurate.

In addition to being at times trumped by geopolitics the rule of law, democracy and human rights typically rank lower than economic concerns that claim 'functional primacy' within the EU constitution (Tuori 2015: 26; Wilkinson 2013). As Viktor Orbán came to power in 2010, the Union was busy taking care of the financial and debt crisis, and this factor, along with support provided to Orbán by the European People's Party (Gostyńska-Jakubowska 2016), represented one of the main reasons why democratic backsliding in Hungary was overlooked initially. The Union and the Venice Commission condemned the Hungarian government for specific legislative and constitutional issues that contravened Union principles and international human rights law, but no comprehensive mechanism was put in place to prevent systemic threats to the rule of law until 2014, when the institutional landscape of Hungary had already been transformed.

While the Union may belatedly react to rule of law crises, it seems more eager to take a hard stance when major economic interests are at stake, as illustrated by its dealing of the Greek sovereign debt crisis. Greece, which was labeled as the potential source of 'financial contagion' in the Eurozone, had to bear the social costs of loan conditionalities and was pushed to the brink of exiting the Eurozone and the EU. Conversely, the Polish and Hungarian governments have thus far gotten away with posing a systemic threat to the rule of law due to the lack of consensus on such measures (Steinbeis 2016), which makes even the Commission's threat of triggering of Art. 7 TEU less of a 'nuclear' option than it seems.

While disagreement has thus far undermined robust responses to the actions of the Polish and Hungarian governments, it does not have to be seen as a major limit of the EU as an institution that cherishes the rule of law. The history of contemporary international politics has constantly been marred by a 'will to sanction' that has rarely produced the desired outcomes. Nationalistic backlashes and further social polarization have to be expected if the EU carries out formal or informal sanctions against Hungary and Poland for breaches of the rule of law and EU norms (Buras 2016). In addition, Hungary will likely move closer to Russia and away from the EU if a harsh punitive strategy was pursued by EU authorities and member states. Sanctions would generate various problems in terms of legitimacy, effectiveness as well as unintended consequences.

An alternative to radical confrontation is constituted by nonpolitical sanction mechanisms which, however, are especially applied when economic interests are at stake. In particular, the Commission has put significant pressure on both Poland and Hungary due to breaches of EU market rules. In September 2016, when the Polish government was about to implement a progressive tax on retailers that would favor smaller Polish businesses and lower the profits of larger foreign companies, the Commission urged the government to withdraw the measure (Radio Poland 2016a). Polish President Andrzej Duda thus suspended it, awaiting an award by the European Court of Justice, to which Poland has appealed. Similarly, the Hungarian government had to back down on progressive

taxation schemes that in the view of the Commission favored small Hungarian companies and amounted to state aid incompatible with the EU's internal market (European Commission 2016). Here, it is important to note that this taxation pattern has not made Hungary an enemy of foreign business, at least not in all sectors. Orbán has constantly resorted to a stick-and-carrot strategy oscillating between imposing special taxes mostly targeting foreign companies and encouraging foreign investment through incentives and subsidies, in particular in manufacturing, thus securing Hungary's position as a low-cost production site for major companies such as Daimler and Audi (Byrne 2016). As economic forecasts for Hungary and Poland remain positive and labor relatively cheap compared with neighboring countries, major foreign investors will likely stay, which is one of the main factors allowing Fidesz and PiS to act boldly on the European stage. Referring to EU Commissioner Frans Timmermans' work on the rule of law in Poland, Polish Foreign Minister Witold Waszczykowski has rejoiced that 'this activity of Mr. Timmermans is not taken seriously by the ratings agencies, by investors or by business people' (Karnitschnig 2016).

Fidesz and PiS have made their fortune out of the failures of the neoliberal agenda of the 1990s and the 2008 crisis, and they would forfeit much of their legitimacy if the economic situation in their countries worsened due to decrease in foreign investment and EU funds (The Economist 2016; Kelemen 2017: 223). Economic pressure, not Art. 7, would thus seem to be the strongest card in the hands of the Union to influence the policies of Fidesz and PiS, also because a significant contributor to the EU budget such as the United Kingdom is currently exiting the EU. If the Hungarian and Polish governments are still in power after the Brexit negotiations are concluded, EU institutions and other member states might suggest that these governments change their attitude toward liberal democracy in exchange for maintaining current levels of EU funds. This strategy would reenact what occurred when new member states entered the Union in the 1990s and 2000s and promised to comply with the EU's political principles in exchange for the benefits deriving from participation in the common market. In recent comments on EU finances, the European commissioner for the budget, Günther Oettinger, has already advocated the option of making the allocations of EU funds conditional on recipient countries' respect of the rule of law and acceptance of shared European commitments, e.g. in the field of immigration (King 2017).

Obviously, the major problem with the conditionality approach would be its indiscriminate nature, as those most suffering from a reduction of EU funds would likely be ordinary Hungarian and Polish citizens. Conditionalities have been widely critiqued as a tool for steering the policies of governments in the Global South, and applying analogous strategies in Europe would similarly impact on standards of life and fundamental rights in a way barely compatible with EU values. In addition, conditionalities might revive memories of past forms of foreign interference by neighboring powers in Hungarian and Polish affairs, thus turning into yet another argument for Fidesz and PiS to delegitimize the EU as a hostile entity besieging Hungary and Poland. Here, identity politics and economic grievances would, once again, be closely interlinked. Parties such as Fidesz and PiS thrive not only on economic concerns but also on the parallel construction of internal and external enemies, the invocation of national identity as a foundational political principle and the politics of historical memory and culture. These elements are especially important in countries in which, for historical reasons, the rejection of foreign influence remains an essential part of political life and national psychology. This should remind EU institutions that responding to the challenge posed by the Hungarian and Polish governments requires more than offering economic prosperity – or threatening economic sanctions – and punishing infringements of specific legal norms. As some European leaders have acknowledged, the challenge of reemerging nationalism is best met by developing a holistic, ambitious social and political vision for Europe. As long as this vision remains absent or on the paper, it will be a relatively easy task for parties such as Fidesz and PiS to win hearts and minds in their countries and set an example for like-minded organizations in Europe.

Another option, though perhaps not the most attractive one, for the EU would be to still wait and see. The backsliding of the rule of law and democracy might to some extent be tolerated by EU institutions and member states as a lesser evil compared with the political and economic costs of

an open conflict between the Union and the Hungarian and Polish governments. There would be precedents for this kind of leniency. In Italy, a country whose legal system is often characterized by the EU as affected by 'structural deficiencies', former Premier Minister Silvio Berlusconi secured several mandates despite strong criticism by the Italian opposition and external watchdogs, in particular the Venice Commission, over his conflict of interests and control over the Italian media (Venice Commission 2005). Only in 2011 was he forced to resign, largely as a result of international institutional pressure, including from key EU governments alarmed due to the systemic risk that Italy's debt crisis allegedly represented for countries in the Eurozone, and which urged him to accept IMF surveillance over Italy's austerity measures (The Guardian 2011). To be sure, such scenarios of virtual compulsory administration would be less likely to occur in countries outside the Eurozone such as Hungary and Poland. Typically, economic disagreements between such countries and other Union partners, for instance regarding Hungary's energy deals with the Russian company Rosatom or Poland's opposition to the Nord Stream 2 pipeline, do not constitute 'existential' threats to the economic stability of the Union or the Eurozone.

The above seems to confirm that rule of law issues should not be viewed in isolation but along with broader economic and political concerns, to which sometimes they are subordinated. This is one of the reasons, in addition to the risk of increasing polarization, why sanction-based and formalistic approaches to rule of law infringements appear questionable. While seemingly neutral, impartial and serving the shared interests of all EU members, these 'punitive' approaches always come with a specific political project in need of legitimation. This problematic subordination of law to politics is visible, for instance, in recent proposals for establishing commissions for the protection of fundamental rights endowed with the authority to cut EU funds, impose fines and even expel countries from the EU (Müller 2015). It is hard to say how such commissions could legitimately wield such sweeping powers and not be subject to governmental and other pressure that would undermine their democratic credentials. Yet, not all authors share the same radical view on sanctions. Armin von Bogdandy has refocused on the need to strengthen the legal protection of individual rights in countries affected by democratic backsliding, in particular by promoting individuals' access to redress for systematic breaches of the rule of law on the basis of the jurisprudence of the European Court of Justice (Von Bogdandy 2015). While not 'unpolitical', this suggestion could at least be legitimated within the current EU framework and would not result in radical punitive measures such as the expulsion of member states from the Union.

Inside Hungary and Poland: the interplay of identity politics and social and economic policies

A proper evaluation of Fidesz's and PiS's political behavior must take into account local narratives of cultural identity, forms of identification of internal and external enemies and the social and economic policies that have allowed Orbán and Kaczyński to establish their image of defenders of 'the people'. No successful alternative to Orbán's and Kaczyński's politics can be proposed without a critical awareness of how their model has become viable in the eyes of domestic constituencies. A full examination of the local Polish and Hungarian contexts is beyond the scope of the article, but a first step of this critical inquiry might be to scrutinize the way PiS and Fidesz have managed to implement economic reforms running counter the recommendations of international financial institutions and the austerity discourse that has prevailed since the global financial crisis. In Poland, by way of illustration, the PiS government has set up generous benefit schemes for families with children, which also contributed to the increase of wages in the countryside as businesses needed to attract people back to work. The government has lowered the retirement age, raised the minimum wage and launched a plan to 're-Polonize' the banking sector (Radio Poland 2016b). It has made the fight against corruption, a theme to which Polish public opinion had become very sensitive in the wake of several scandals, one of its top priorities (Rae 2013). To be sure, Kacziński is simultaneously suspected of

consolidating the discretionary power of a new elite (Cienski 2016), and more generally, it remains to be seen what the long-term consequences of PiS' economic measures will be, not to speak of its xenophobic and reactionary politics.

In Hungary, Orbán has put forward a project of economic nationalism by imposing transaction taxes on foreign and private banks, nationalizing private pension funds and increasing the state's stake in the energy sector, thereby lowering energy prices for household consumers. These policies, which have contravened EU law and have been targeted by infringement procedures (Varju and Papp 2016), have meant a move away from the neoliberal model Orbán himself had once championed. By the mid-2000s, following an IMF-backed restructuring of the economy, foreign banks accounted for above 80% of total Hungarian assets, and by 2008, the share of foreign-currency loan was at 70%, up from 5% in 2003 (Johnson and Barnes 2015: 543). In this period, energy prices for households had become among the highest in the EU, an instance of the broader problem of energy poverty common to other East Central European countries since the rise of energy prices in the 1990s (Isaacs and Molnar 2017: 114; Bouzarovski and Herrero 2017). A socialist government led by Ferenc Gyurcsány came to power on a pledge to carry out reforms without austerity but capitulated before the IMF, resulting in more cuts in wages and pensions and further shrinking of the economy. This is the context in which Orbán won the 2010 elections and established his project of 'illiberal democracy' and 'work-based' state. Again, the above does not mean that Orbán's and Kaczyński's economic projects are genuinely beneficial for 'the people', free from ideological and strategic motives, or even just sustainable in the long term. It rather appears that what is given with one hand to the Polish and Hungarian citizens in economic terms is taken away with the other at the level of freedoms and political accountability.

The economic project of Orbán and Kaczynski has been underpinned by a so-called illiberal ideology which, while fairly vague, has appealed to local constituencies thanks to the reference to national identity and the invocation of the sovereignty of the people in opposition to purported internal and external enemies. As they appeal to the 'people', these governments maintain that the liberal rule of law model promoted by the EU is overly formalistic and undermines the paramount democratic principle that all decision-making power derives from the nation. In the eyes of Orbán and Kaczynski, this limitation of the popular mandate in turn prevents governments from regulating the economy, thus allowing global capital and foreign-funded actors to interfere in domestic political life (Orbán 2014).

Many worry that this clash between liberal democracy and Eastern Central nationalism might lead to a division of the EU into regional blocs along ideological lines. Fidesz and PiS wish to pursue a 'counterrevolution' within the EU, and Orbán explicitly claims that it is possible 'to construct a new state built on illiberal and national foundations within the European Union' (Orbán 2014). Simultaneously, in its fairly polite exchanges with the Venice Commission, the government of Hungary has been eager to show that it wishes to avert any open conflict with the EU and to follow, as much as possible, the recommendations of this commission, an effort partly acknowledged by the latter (Government of Hungary 2011; Venice Commission 2012: § 85, 2015: § 110). Conversely, the dialectic between European actors and the Polish government is frequently marked by a harsher tone. The Venice Commission has recently implied that the rule of law is currently suspended in Poland (Venice Commission 2016a, 2016b), and the Polish government has replied that the opinion of the commission

> presents [a] one-sided approach, lacks in thoroughness and is ridden with factual errors. It also exceeds the terms of reference of the request for examining the case. It reveals a clear political commitment of the experts who drafted it on the side of the opposition. (Government of Poland 2016)

At times EU policymakers tend to replicate this language, thus contributing to PiS' strategy of creating a feeling of siege among Polish constituencies.

The limits of rule of law theory

EU authorities and the Venice Commission typically construe democracy, rule of law and human rights as mutually dependent, as the European Commission has underlined in its Communication on the Rule of Law Framework.

> [R]espect for the rule of law is intrinsically linked to respect for democracy and for fundamental rights: there can be no democracy and respect for fundamental rights without respect for the rule of law and vice versa. Fundamental rights are effective only if they are justiciable. Democracy is protected if the fundamental role of the judiciary, including constitutional courts, can ensure freedom of expression, freedom of assembly and respect of the rules governing the political and electoral process. (European Commission 2014)

The same view has been reiterated by the Venice Commission in its Opinion on Amendments to the Act of 25 June 2015 on the Constitutional Tribunal of Poland.

> Crippling the Tribunal's effectiveness will undermine all three basic principles of the Council of Europe: democracy – because of an absence of a central part of checks and balances; human rights – because the access of individuals to the Constitutional Tribunal could be slowed down to a level resulting in the denial of justice; and the rule of law – because the Constitutional Tribunal, which is a central part of the Judiciary in Poland, would become ineffective (Venice Commission 2016b).

Yet, rule of law and democracy are neither inherently nor historically interdependent, given the various ways in which direct and representative forms of democracy as well as Anglo-Saxon rule of law and German *Staatsrecht* traditions have developed in different contexts. It has rather been a normative task taken on by contemporary liberal theorists to argue for a conceptual link between democracy, the rule of law and fundamental rights (Bobbio 1990; Habermas 1996; Kumm 2012). Such theoretical attempts should not obscure the fact that each of these notions has gone through particular and contested histories and has been the object of definitional disputes. East Central Europe, in particular, has historically been a site of struggles between various understandings of democracy and the rule of law, and overlooking these struggles to uniquely focus on the technical problem of how to reestablish liberal democracy in Hungary and Poland would miss the broader picture and the historical and social circumstances that facilitated the rise of 'populism' in the first place (Blokker 2016). Any analysis of the place of the rule of law, democracy and fundamental rights needs be complemented by critical scrutiny of how these principles have been applied, sometimes in inconsistent and biased manners, including at the pre-accession stage (Vebel 2011).

The limits of the EU's rule of law and democracy discourse are visible not only in the way these principles are defined in official legal texts and variously applied through concrete policies and sanction mechanisms but also in how they can be justified theoretically. At least three pro-rule of law and liberal democracy arguments can be mentioned as justifying EU intervention in so-called constitutional crises and democratic backsliding:

(1) *Minimalistic argument*. It is a 'positivist' argument emphasizing that respect for the rule of law, democracy and fundamental rights has been agreed to by all states at accession and all member states must remain committed to these as long as they wish to stay in the EU (Müller 2015).
(2) *Existential argument*. It claims that the rule of law and liberal democracy are essential for the constitutional cohesion of a supranational union as they prevent conflicts between the states and the union (Schmitt 2008: 388; Brunkhorst 2006, 2008).
(3) *Teleological argument*. It asserts that rule of law, democracy and rights are part and parcel of the overall project of creating stable, peaceful and prosperous markets and societies in Europe (Art. 67(1) TFEU; Von Bogdandy and Ioannidis 2014).

In official EU documents, these arguments are often assembled together to form one single narrative (European Commission 2014, 2016; European Commission 2017a), but in the following, they are examined separately for the sake of analytical clarity.

The *minimalistic argument*, which relies on a straightforward notion of consent-based legal obligation, appears fairly strong, assuming the legitimacy of EU rules and values can be conceived as deriving from treaties (Lindseth 2010: 56). Yet, there are a variety of EU rules and values, each with a different status and, as shown above, with a different degree of enforcement attached to them. The Hungarian and Polish governments have already de facto withdrawn their consent to the rule of law principle, or at least to how the principle had traditionally been framed within the EU, but they are not willing, or being pushed, to leave the Union or pay a political or economic price for noncompliance. This lack of enforcement is barely surprising, and not only on grounds of broader political convenience for EU institutions and member states. As long as democracy, the rule of law and fundamental rights are viewed merely as 'values', they can easily be taken as mere desiderata, as teleological instead of normative tenets (Habermas 1996: 255). Given the vague nature of the rule of law principle or 'value' in EU law, 'constitutional clashes' for the definition of these values will always take place (Müller 1999–2000: 1795), and costs/benefits considerations will tend to prevail over calls for automatic enforcement in case of breach.

The *existential argument* somehow supplements the 'positivist', consent-based reasoning. The existential standpoint assumes that because a supranational polity has a potentially conflictual relation with member states, a commonality of higher legal and political principles is needed to avert major clashes (Schmitt 2008). According to classical theories of the federation, this commonality can be found in 'the similarity of the political principle (monarchy, aristocracy, or democracy)' or in shared cultural understandings (Schmitt 2008: 292; Rech and Grzybowski 2017: 153). What has been retained in EU law is a formal kind of commonality, i.e. the 'similarity of the political principle'. 'Political principles' such as the rule of law, human rights, democratic institutions and respect for minorities were included in the Copenhagen criteria for EU accession in the early 1990s. At present, in the wake of the economic and financial crisis, some have argued that supranational commonality ought also to be established at the level of economic policy, including Eurozone governance (Habermas 2012: 115).

The existential argument seems plausible yet it needs to be qualified. Defining present EU conflicts simply as conflicts between the supranational entity and individual countries would be a simplification, since 'existential' struggles for power that are relevant to EU politics already take place within member states and within competing EU institutions, not only between those states and these institutions, not to mention the whole array of intergovernmental and transnational structures within which disagreement may emerge. Domestically, several member states, including Poland, Hungary and Slovakia, are internally polarized, especially along city/countryside lines (Ágh 2016: 29), and citizens' demonstrations such as those that took place in Poland in December 2016 confirm the divisive nature of the policies implemented by the governments of these countries. The EU as an institution is also internally split. Its various actors are involved in contests for institutional hegemony and operate on the basis of various agendas. Such actors may take different stances even on matters whose importance is supposed to be taken for granted, including the rule of law situation in Hungary and Poland. In this respect, the EU Parliament, which has long avoided putting pressure on Orbán, has recently become more 'politicized' and openly blamed the Commission and the Council for not taking effective measures to protect the rule of law, democracy and rights in Hungary and Poland (European Parliament 2015a, 2015b). It has also adopted, even thanks to the support of some members of the European People's Party, a resolution calling for Art. 7 procedures to be opened against Hungary. Given the changing nature of disagreement over time and the various actors that may be involved in disputes over EU politics, it seems that the existential argument would need some revision in order to be tenable. At most, what can be protected by the commonality of principles such as the rule of law is not the Union's legal 'homogeneity' (Schmitt 2008) or common 'political culture' (Habermas 1996) but, more humbly,

a certain kind of 'functioning' of EU institutions. This might even make sense from a normative viewpoint, since it can be argued that what needs to be properly defined in order to prevent conflicts within a supranational polity is less its members' form of government and cultural assumptions than simply the competences and scope of supranational authorities. The vast majority of conflicts between the EU and member states, as well as between states themselves, concern specific matters, not background values.

Democracy definitely counts as a shared form of government and normative project in the present Union. However, if history is a guide, most types of international cooperation and even long-term friendships have not always been based on the commonality of a form of government, much less on background cultural assumptions. In Eastern Central Europe, at least, democracy, rule of law and fundamental rights do not seem to have operated as a background cultural condition for preventing disagreement between the EU and member states. Initially, these principles have simply been imposed as conditions for accession – at which stage they could not yet be seen as shared cultural presuppositions – and more recently, regardless of whether they have been internalized, they have turned into the very reasons of disagreement. At any rate, they have not fulfilled a preventing function as regards the outburst of disagreement. They have not worked as parts of a 'liberal political culture' ideally supplementing procedural rules (Habermas 1996: 255).

As an argument of conflict prevention, the existential argument definitely fails, even when reduced to the functionalistic point of keeping the current EU legal system working effectively. As any law under circumstances of social complexity, a formally conceived rule of law remains somehow ideological. It tends to privilege some social actors instead of others and to create the conditions for the production and reproduction of conflicts instead of merely settling them (Luhmann 1993: 139). It may stabilize 'expectations' for the benefit of specific actors yet not necessarily nurture 'hopes' for the broader society. From this perspective, the cohesion of EU through the affirmation of foundational principles might come at the price of overlooking difference. Obviously, some common principles are needed, but they should not be aprioristically taken out of a space of possible, if not always active, debate and contestation (Habermas 1996). The rule of law, democracy and fundamental rights should not turn into taboos in need of no justification, as hypostatized truths asserted against an equally dogmatic 'populism'.

The argument of rule of law, democracy and fundamental rights as indispensable tools for conflict prevention appears flawed even when it is supplemented, as in the *teleological argument*, by the demanding assumption that such principles would perfect the Union and foster freedom, security and justice as expounded in Art. 67(1) TFEU. Von Bogdandy and Ioannidis (2014) argue that the

> presumption [that EU members have attained and sustain the values of Art. 2 TEU] is essential for the EU legal order. It allows for trust between all institutions, justifies the recognition of their decisions, legitimizes EU decision-making, and expresses Europe's self-understanding as a union of liberal democracies.

This, however, appears as an overly prescriptive reading of EU values. While it can be argued, for instance, that the rule of law has been recognized as an important principle in EU law at least since the *Les Verts* ECJ ruling and up to the recent Rule of Law Framework, it takes a further normative step to claim that the rule of law and other values enshrined in Art. 2 TEU are essential for the EU legal order, legitimize decision-making and express Europe's self-understanding. The questions of order, legitimacy and self-understanding cannot be pitched at this level of abstraction, since their evaluation depends on the perspective of situated actors who might differ in their view of what is a legitimate order and how they feel about their identity as Europeans. Developing a new vision for Europe may help shape a common understanding on such matters which, for the time being, remain controversial. Von Bogdandy and Ioannidis themselves acknowledge that the rule of law remains 'one of the most elusive legal concepts' (Von Bogdandy and Ioannidis 2014: 62), one that requires constant engagement and rearticulation.

Conclusion

The rule of law, democracy and fundamental rights are currently facing a radical challenge. In the EU and elsewhere, the rise of radical nationalist parties has dealt a blow to the once widespread assumption that proper institutional design, strengthened by well-informed public opinion, would necessarily foster a liberal constitutional culture and contribute to making nations '*accustomed* to liberty' (Habermas 1996: 461). The preoccupation with how democracy can be acquired has now been supplemented with the fear that, even when acquired, democracy might be lost again.

Responding to the threat of the decay of the rule of law may require articulating a new, progressive vision for Europe, yet, as mentioned earlier, the theorization of such a vision is far beyond the scope of this article and the capability of this author. More modestly, this piece has illustrated a problem that may be preventing the articulation of that vision, i.e. the institutional and scholarly tendency to rely on essentialistic views of the rule of law and democracy and, implicitly or explicitly, to reproduce a simplistic understanding of the political as defined by a Manichean struggle between good and evil, truth and falsity, self and other. Thus, the article has proposed an internal critique of established rule of law narratives in three steps. The first section has focused on the way the rule of law, while loudly proclaimed as an essential principle of the EU, has all too often been sidelined in the name of competing interests and may therefore have forfeited some of its credentials. This section thus calls for scrutinizing the specific political projects that underlie proposals for strengthening the rule of law, especially when the threat of harsh sanctions is involved. All too often, mainstream narratives focus on how to reassert the rule of law without problematizing the untold assumptions of those claiming to be speaking in the name of a general EU interest.

Further, in the second section, the article has discussed a set of concrete policies that Fidesz and PiS have developed to obtain some degree of domestic consent. The article has drawn special attention to economic and social policies that have mostly been overlooked in institutional and scholarly critiques of Fidesz and PiS. Analyzing such policies may help deconstruct the demonization of the other and contribute to a better understanding of the Hungarian and Polish contexts, without which no effective response to the crisis can arguably be given. Finally, in the third section, the article has addressed the limits of rule of law theory as applied to the situations in Hungary and Poland. The section has highlighted inherent ambivalences and unjustified theoretical assumptions in the rule of law discourse to show that some of the foundational claims of mainstream literature may be less certain than they seem at first glance. This is not to dismiss the possibility of theoretically grounding the rule of law altogether but to highlight the problems with the essentialistic view of the rule of law promoted by certain institutional and scholarly narratives in current debates on democratic backsliding.

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